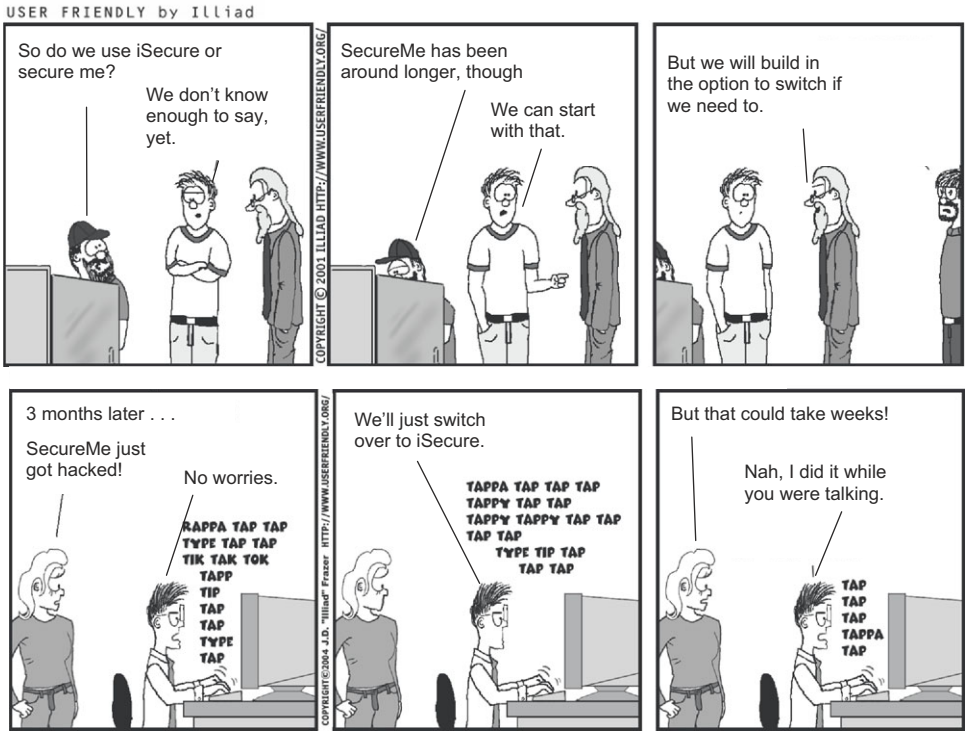


Figure 4.17 Real Options lets you reduce risk by leaving your options open.

Let's look at each of these principles in a little more detail.

4.3.1 Options have value

Options have value because they allow you to put off committing to a particular solution before you have enough knowledge to determine what solution would be best. In the finance industry, the value of an option can be calculated precisely. This isn't the case in software development, but, in general, the less you know about the optimal solution for a particular problem, the more value there is in being able to keep your options open.

Options also have a price. The price in software development is the effort involved in incorporating this flexibility. This price might involve discussing the possible options upfront, adding layers of abstraction to allow a different implementation to be switched in more easily, making certain parts of the application configurable, and so forth.

For example, suppose that you're building a new website for a dynamic young startup. The founders have no clear idea of the volume of users they expect; they know it will start small, but they're very ambitious and expect millions by the end of the year.

You have three options here. You could build the application with no particular regard to scalability, and make it more scalable if and when the need arises, using the